Write your name here Surname Other names ☐☐☐☐☐☐☐☐☐☐☐☐ Centre Number Candidate Number ☐☐☐☐☐☐ ☐☐☐☐☐☐	**Pearson Edexcel** **Level 3 GCE**

Economics A

Advanced

Paper 1: Markets and Business Behaviour

Predicted Paper — Advanced (for revision purposes only)

Predicted Paper — For revision purposes only **Time: 2 hours** You do not need any other materials.	Paper Reference **9EC0/01** Total Marks 100

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are three sections in this question paper. Answer ALL questions from Section A and Section B. Answer ONE question from Section C.
- Answer the questions in the spaces provided — there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box ☐ and then mark your new answer with a cross ☐.

You are advised to spend 30 minutes on this section.

Use the data to support your answers where relevant. You may annotate and include diagrams in your answers.

1 The table below shows daily demand and supply for premium ride-hailing trips in central London. At the original equilibrium price of £18, the quantity traded is 40,000 trips per day (figures are given in thousands of trips).

Price (£)	Qd ('000)	Qs ('000)	New Qd	New Qs
24	28	52	—	—
21	34	46	—	—
18	40	40	—	—
15	46	34	—	—
12	52	28	—	—

(a) A sudden strike on the London Underground causes demand to rise by 9 thousand trips at every price; at the same time, dynamic-surge algorithms raise the effective price at which any given quantity is supplied by £3. Calculate the new equilibrium price and quantity. Use the last two columns for your working. **(4)**

(b) If the price elasticity of demand in this market is estimated at −0.67, following a 15% rise in the equilibrium price, total platform revenue is most likely to: **(1)**

- ☐ **A** fall by approximately 10%
- ☐ **B** fall by approximately 5%
- ☐ **C** rise by approximately 5%
- ☐ **D** rise by approximately 10%

(Total for Question 1 = 5 marks)

2 In 2024 UK consumer spending on subscription video-on-demand (SVOD) services rose 11% year-on-year. The cross elasticity of demand (XED) between SVOD and cinema tickets is estimated at +0.3, and between SVOD and broadband internet at −0.6.

(a) Using the XED value of +0.3 between SVOD and cinema tickets, calculate the expected percentage change in demand for SVOD if cinema ticket prices rise by 10%. You are advised to show your working. **(2)**

(b) Explain what the XED value of −0.6 between SVOD and broadband internet suggests about the relationship between the two goods. **(2)**

(c) A rise in the price of broadband of 5% would, other things equal, cause the quantity demanded of subscription video-on-demand to: **(1)**

- ☐ **A** rise by 3%
- ☐ **B** fall by 3%
- ☐ **C** rise by 0.6%

☐ **D** fall by 0.6%

(Total for Question 2 = 5 marks)

3 The UK Digital Markets, Competition and Consumers Act (2024) gives the CMA powers to designate large platforms as having 'Strategic Market Status' and impose tailored conduct requirements.

(a) Using a cost and revenue diagram, show the effect on a dominant platform's supernormal profits of a CMA requirement that it caps the commission it charges merchants (set below the platform's profit-maximising price). **(2)**

(b (i)) Identify the change in the platform's profit-maximising price following the imposition of the cap. **(1)**

(b (ii)) Identify the change in consumer surplus following the imposition of the cap. **(1)**

(c) A price cap set below a monopolist's profit-maximising price, but above average cost, is most likely to: **(1)**

☐ **A** eliminate all supernormal profits
☐ **B** reduce price, raise output and reduce deadweight loss
☐ **C** raise price and reduce output
☐ **D** have no effect on consumer welfare

(Total for Question 3 = 5 marks)

4 In 2025 two major UK food-delivery platforms, Deliveroo and Just Eat, faced accusations of engaging in tacit collusion on the commissions charged to participating restaurants.

Source: adapted from https://www.gov.uk/cma-cases/delivery-platforms-commission-review

(a) With reference to the kinked demand curve model, explain why firms in an oligopoly might avoid open price competition. A clearly labelled diagram is expected. **(4)**

(b) Tacit collusion is most likely to be sustainable in a market with: **(1)**

☐ **A** many firms of similar size, low entry barriers, and homogeneous products
☐ **B** few firms, high entry barriers, and easily observable prices
☐ **C** perfect information, very low concentration, and rapid technological change
☐ **D** strong regulatory oversight and transparent tendering processes

(Total for Question 4 = 5 marks)

5 In 2025 the UK government launched a £1.5 billion AI Compute Fund, paid as a Pigouvian-style subsidy to data-centre operators investing in low-carbon GPU clusters that generate positive spillovers for UK research.

(a) A Pigouvian subsidy is best justified when a good generates: **(1)**

☐ **A** negative externalities in production
☐ **B** positive externalities in consumption or production
☐ **C** no externalities at all
☐ **D** purely private benefits

(b) Explain one way in which a Pigouvian subsidy can move output closer to the socially optimal level. A diagram may help your answer. **(2)**

(c) If the £1.5 billion AI Compute Fund is allocated to projects delivering 3 GW (3,000 MW) of additional low-carbon GPU capacity, calculate the subsidy per megawatt of capacity (in £ million per MW). You are advised to show your working. **(2)**

(Total for Question 5 = 5 marks)

TOTAL FOR SECTION A = 25 MARKS

SECTION B

Read Figures 1 and 2 and Extracts A, B and C before answering Question 6.

Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

6 UK digital platforms and advertising

Figure 1: UK digital platform market share by sector (2024)

Sector	Leading firm	Leader market share (%)	Top 3 combined share (%)
General search	Google	91.2	97.1
Mobile OS	Apple iOS	52.8	99.8
Online video sharing	YouTube	76.4	89.0
App distribution	Apple App Store	48.5	96.2
E-commerce marketplace	Amazon	34.6	58.1

Source: adapted from https://www.ofcom.org.uk/research-and-data/online-research

Figure 2: UK digital advertising spend by platform (£ billion, 2024)

Platform	Ad spend (£bn)	Share of UK digital ad market (%)
Google (Search + YouTube)	11.8	39.7
Meta (Facebook + Instagram)	7.2	24.2
Amazon Advertising	3.4	11.4
TikTok	2.0	6.7
Microsoft Advertising	1.1	3.7
All other platforms	4.2	14.3

Source: adapted from https://www.iabuk.com/adspend-2024

Extract A — Why digital markets tip

Digital platforms exhibit strong network effects: the more users join, the more valuable the service becomes to new users and to complementors such as advertisers and developers. Combined with very low marginal costs of serving each additional user, high fixed investment in data infrastructure, and proprietary access to user behavioural data, this tends to produce 'winner-takes-most' outcomes. In many segments, a single firm serves the overwhelming majority of consumers, and challengers find it difficult to reach the minimum efficient scale needed to compete. Consumers may nevertheless receive the headline service for a zero monetary price, with value extracted through advertising and data-sharing rather than direct payment.

Source: adapted from https://www.cepr.org/digital-platforms-market-power

Extract B — Data portability and interoperability remedies

Under the Digital Markets, Competition and Consumers Act 2024, the CMA can require designated platforms to allow users to port their data to rival services and, in some cases, to ensure interoperability with third-party applications. Proponents argue that this will reduce switching costs, weaken lock-in effects and make markets more contestable. Critics respond that, because network effects drive most of the lock-in, data portability alone is unlikely to overturn a dominant position, and that mandated interoperability risks reducing firms' incentives to invest in platform security and innovation.

Source: adapted from https://www.gov.uk/government/consultations/digital-markets-conduct-requirements

Extract C — Strategic Market Status designation

In January 2026 the CMA opened its first SMS investigations, examining whether Google (in general search and search advertising) and Apple (in mobile operating systems and app distribution) should be designated. If designated, each firm would face tailored conduct requirements and potential pro-competition interventions, backed by fines of up to 10% of global turnover for non-compliance. Both firms have argued that the UK regime is overly prescriptive and could discourage investment in UK-facing services. Some consumer groups have welcomed the prospect of lower commission rates, greater transparency, and easier switching to rival services.

Source: adapted from https://www.gov.uk/cma-cases/sms-investigations-2026

(a) With reference to Figure 1 and Extract A, explain one likely reason why digital-platform markets tend towards a 'winner-takes-most' outcome. **(5)**

(b) With reference to Figure 2 and Extract A, and using a cost and revenue diagram, discuss the potential consumer-welfare consequences of high concentration in the UK digital advertising market. **(12)**

(c) Examine the extent to which data-portability obligations (Extract B) are likely to reduce barriers to entry in digital markets. **(8)**

(d) Assess the case for designating a dominant digital platform as having 'Strategic Market Status' under the 2024 Act. Refer to Extract C in your answer. **(10)**

(e) Discuss whether traditional measures of market power, such as market share and the Herfindahl-Hirschman Index, are adequate for regulating competition in digital platform markets. Refer to the extracts and your own knowledge in your answer. **(15)**

(Total for Question 6 = 50 marks)

TOTAL FOR SECTION B = 50 MARKS

SECTION C

Answer ONE question from this section.

You are advised to spend 30 minutes on this section.

EITHER

7 Some economists argue that the rise of very large, data-rich firms has fundamentally changed the nature of competition in modern consumer markets.

Evaluate the extent to which existing microeconomic theory adequately explains behaviour and outcomes in digital platform markets. Refer to real-world examples in your answer.

(25 marks)

OR

8 'Behavioural economics has shown that consumers are systematically irrational. The pricing strategies of large firms in online markets exploit this irrationality, justifying extensive government intervention.'

To what extent do you agree with this statement? Refer to specific real-world examples in your answer.

(25 marks)

Indicate which question you are answering by marking a cross in the box below.

Chosen question number: Question 7 ☐ Question 8 ☐

(Total for Section C = 25 marks)

TOTAL FOR PAPER = 100 MARKS